

COSTA CAPITAL

SPAIN REAL ESTATE FINANCE PLAYBOOK

2026 EDITION

How professional borrowers prepare, structure and position a €350K-€50M real estate financing request in Spain.

FOR PROFESSIONAL & CORPORATE BORROWERS

Bridge • Acquisition • Development • Refinancing
Spain - with a focus on the Mediterranean coast

Have a live financing requirement?

Use the Costa Capital Real Estate Financing Assessment to review lender readiness and potential structural improvements.

START YOUR ASSESSMENT → app.costacapital.pro

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How to use this playbook

Good real estate projects can lose time - or fail to reach the right financing sources - because the financing request is incomplete, poorly structured or presented to the wrong type of lender.

THE OBJECTIVE

Help you understand how a professional financing request is assessed, where lender-readiness issues arise, and how to prepare a stronger financing package.

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01 Can Your Project Be Financed?

A lender does not assess a project on one ratio alone. A financing request is usually judged as a combination of the asset, borrower, capital structure, execution plan and repayment route.

Lender lens	What matters
Asset & location	What is being financed, where is it, what is its current status and how liquid is the underlying market?
Borrower / SPV	Who is borrowing, how is ownership structured, and is the borrower a suitable legal entity for the transaction?
Sponsor equity	How much cash or value is already committed and when is it contributed?
Execution readiness	Are permits, budgets, valuations, construction information and key contracts sufficiently advanced?
Exit strategy	How is the financing expected to be repaid - sale, refinance, operating cash flow or another evidenced route?

A strong asset is not enough

A good property can still be difficult to finance if the borrower structure, documentation, equity timing or exit strategy is unclear.

How lender-ready is your project?

Identify potential gaps before approaching financing sources.

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02 Choosing the Right Financing Structure

The purpose and stage of the transaction determine which financing structure is relevant. Actual structures and terms vary by lender and transaction.

Lender lens	What matters
Bridge finance	Time-sensitive acquisition, refinance, transition or short-term situation
Acquisition finance	Purchase of an existing real estate asset
Development finance	Land/acquisition plus construction or conversion
Refinancing	Replace existing debt, extend maturity or restructure capital

Do not start with a target rate
Start with the transaction objective, required amount, security, timing and exit. Pricing is an output of lender underwriting.

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03 LTV, LTC and Debt/GDV Explained

Three leverage measures are commonly used in real estate finance. They answer different questions and should not be mixed.

Lender lens	What matters
LTV - Loan to Value	Debt ÷ relevant current asset value
LTC - Loan to Cost	Debt ÷ total eligible project cost
Debt/GDV	Debt ÷ expected completed gross development value

Illustrative example

Total project cost €5.0M • Expected GDV €7.5M • Illustrative debt €3.0M → LTC 60% and Debt/GDV 40%. These calculations do not indicate lender appetite or approval.

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04 What Professional Lenders Review

Professional lenders assess the full transaction, not only the collateral.

Lender lens	What matters
Transaction	Purpose, amount, use of funds, timing and requested tenor.
Asset	Location, title, valuation, condition, planning status and security.
Borrower & ownership	Legal entity, ownership chain, UBOs, track record and financial position.
Equity	Amount, source, timing and evidence.
Business plan	Strategy, budget, timeline and assumptions.
Exit	Repayment route with evidence and downside resilience.
Documentation	Whether the information can be independently verified and underwritten.

Costa Capital's role

We help professional and corporate borrowers prepare and present business-purpose financing requests. Independent financing providers perform underwriting and make the final credit decision.

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05 The Lender-Ready Documentation Pack

The exact document request varies, but a professional financing package commonly needs these categories.

Lender lens	What matters
Project summary	Asset, purpose, financing need, borrower, equity, timeline and exit.
Corporate & KYC	Borrower documents, ownership chart, UBO identification and source-of-funds information.
Asset information	Title, purchase agreement where applicable, plans, licences/status and relevant legal documents.
Valuation support	Available appraisal, valuation evidence and comparable information.
Financial information	Relevant borrower/sponsor financial information.
Development package	Cost plan, programme, permits/status, contractor information and sales/operating assumptions.
Financial model	Sources & uses, drawdowns, contingencies and base/downside scenarios.
Exit evidence	Sales assumptions, refinance case, operating cash flow or other documented repayment route.

The faster route is preparation

Missing or inconsistent information can slow lender review. Resolve gaps before market outreach.

How lender-ready is your project?

Identify potential gaps before approaching financing sources.

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06 Development Finance: From Land to Exit

Development finance is not simply a loan against future value. Lenders assess the execution path from site control and planning through construction and repayment.

Lender lens	What matters
Site / acquisition	Purchase terms, title, current value, planning position and borrower equity.
Planning & permits	Current permit status, remaining approvals and realistic programme.
Budget & procurement	Detailed cost plan, professional team, contractor strategy and contingency.
Funding structure	Borrower equity, lender debt, drawdown mechanics and lender-required reserves.
Sales / operating plan	Evidence supporting demand, pricing and timing.
Exit	Unit sales, stabilisation/refinance or another evidenced repayment strategy.

Avoid generic presale assumptions

There is no single market-wide presale percentage. Requirements, if any, depend on the project, location, lender, sales strategy and overall risk profile.

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07 Bridge Finance: When and Why It Works

Bridge finance is short-term financing for transactions that require a structure or timetable that does not fit conventional long-term funding.

Lender lens	What matters
Acquisition	Time-sensitive purchase where execution certainty matters.
Refinancing	Replace an existing facility before a longer-term solution is available.
Transition	Acquire or reposition an asset ahead of stabilisation, sale or refinance.
Specialist underwriting	Situations where the asset or documentation is still in transition.

Bridge is not an approval shortcut

Speed and flexibility still depend on underwriting, valuation, legal due diligence, KYC and satisfaction of conditions.

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08 Why Financing Requests Stall or Fail

Most problems are visible before lender outreach if the financing package is reviewed critically.

Lender lens	What matters
Unclear exit strategy	Repayment is vague or unsupported.
Unrealistic valuation / GDV	Values cannot be supported by evidence or independent valuation.
Insufficient or unclear equity	Amount, source or timing is uncertain.
Execution risk not addressed	Permits, budget, contractor strategy or timeline remain unclear.
Incomplete KYC / ownership	Borrower, UBOs or source of funds cannot be efficiently verified.
Wrong financing source	The lender mandate does not fit the asset, stage, ticket or risk.
Incomplete model	Sources and uses, contingencies, drawdowns or downside cases are missing.

Do not hide the weak point

Material risks should be identified, documented and addressed. A professional package explains the issue and how it is managed.

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09 Illustrative Financing Case Studies

These examples show how different financing needs can be framed. They are not offers, commitments or indications that equivalent terms are available.

CASE A - ACQUISITION / BRIDGE

Spanish coastal residential asset

Corporate/SPV borrower

Need: time-sensitive acquisition funding

Focus: purchase structure, equity, current asset value, legal readiness and defined exit.

CASE B - DEVELOPMENT FINANCE

Residential development project

Spanish project company / corporate sponsor

Need: acquisition and phased construction funding

Focus: permit status, cost plan, equity, construction controls, sales strategy and Debt/GDV.

CASE C - REFINANCING

Existing real estate asset

Corporate owner

Need: replace or restructure existing debt

Focus: current debt, valuation, asset status, borrower position and credible repayment/refinance route.

Have a comparable live transaction?

Start with a structured assessment, then request a Costa Capital review if the project falls within mandate.

ASSESS YOUR PROJECT → app.costacapital.pro

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10 How to Improve Your Financing Position

1. Make the exit measurable

Use timing, values, evidence and a downside case.

2. Resolve documentation gaps early

Identify missing title, permit, valuation, corporate or KYC information.

3. Show equity clearly

Document what is invested, what remains available and when it is contributed.

4. Separate facts from assumptions

Distinguish verified information from forecasts.

5. Build a lender-ready model

Use transparent sources & uses, drawdowns, contingencies and sensitivities.

6. Match structure to transaction

Bridge, acquisition, development and refinancing requests should be framed differently.

Prioritise the biggest constraints

Often the highest-impact improvement is better documentation, clearer equity, stronger execution evidence or a more credible exit.

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11 Financing Readiness Checklist

Transaction

- ☐ Purpose and amount clearly defined
- ☐ Use of funds documented
- ☐ Timing and tenor realistic
- ☐ Exit specific and evidenced

Borrower / SPV

- ☐ Borrowing entity identified
- ☐ Ownership/UBO structure documented
- ☐ Corporate documents available
- ☐ Relevant financial information available

Asset / Project

- ☐ Asset/title information available
- ☐ Purchase or ownership position documented
- ☐ Planning/permit status documented
- ☐ Valuation support available

Funding

- ☐ Sponsor equity defined
- ☐ Source of equity evidenced
- ☐ Timing of contribution clear
- ☐ Existing debt/charges disclosed

Process

- ☐ KYC package ready
- ☐ Key legal documents available
- ☐ Information internally consistent
- ☐ Material risks and mitigants identified

How many boxes can you tick?

Turn this checklist into a project-specific lender-readiness review.

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12 Get Your Project Assessed

Costa Capital focuses on business-purpose real estate financing for professional and corporate borrowers, primarily for projects in Spain.

CURRENT MANDATE

Corporate / professional legal entities • Business-purpose real estate • Approx. €350K-€50M • Bridge • Acquisition • Development • Refinancing

Step 1 - Real Estate Financing Assessment

Provide the core project facts. Review financing fit, lender readiness, concerns and possible improvements.

Step 2 - Costa Capital review

For projects within mandate, request a manual review to discuss structure and next steps.

Step 3 - Financing process

Where appropriate and subject to mandate, Costa Capital can assist with preparation and presentation to independent professional financing sources.

Ready to assess your project?

Bridge • Acquisition • Development • Refinancing

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Important Information & Scope

Costa Capital is a trading name of JLMX B.V., a company incorporated in the Netherlands. Costa Capital acts as an intermediary for business-purpose commercial real estate financing.

Costa Capital does not itself provide loans, accept deposits or make final credit decisions. Financing providers independently perform underwriting, valuation, legal and commercial due diligence, KYC/AML review and credit approval, and determine their own terms and conditions.

Costa Capital does not arrange consumer credit or owner-occupied residential mortgage financing. Its financing intermediation service is intended for professional and corporate legal entities and transactions within its current mandate.

This playbook is for general informational and educational purposes only. It is not an offer, commitment to lend, credit approval, valuation, legal, tax, accounting or investment advice. Examples and calculations are illustrative only.

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